BUSINESS STRATEGY & TECHNOLOGY

Suggested Answers
March-April 2025

Answer to the Question# 1

a) Comparison of Change Programs

The previous cost reduction exercise focused on incremental changes such as selective redundancies, shifting production, altering reporting structures, reducing capacity, and outsourcing. These changes were localized, meaning each factory managed its own cost-cutting measures independently. However, the results were inconsistent, and no long-term cost reductions were achieved.

The new globalization proposal, on the other hand, represents a transformational change—a complete overhaul of the manufacturing structure. It consolidates production into three factories instead of four, ensuring that each product is manufactured at a single specialized site with a standardized design. This approach aims to achieve economies of scale, creating a permanent reduction in production costs. Unlike the previous method, this change is centralized, reducing factory managers' control over marketing decisions.

b) Impact on Key Stakeholders and Communication Strategy

Key Stakeholders Affected:

- Employees – One factory will close, leading to job losses and restructuring. Remaining employees may need to adapt to different roles, locations, or technologies.
- Factory Managers – Their authority over marketing decisions will be removed, reducing their influence on regional product strategies.
- Shareholders – The cost-saving measures may improve profitability, increasing stock value, but the transition period may bring financial uncertainty.
- Customers – They might face fewer product variations tailored to their regional preferences, which could impact brand loyalty and sales.
- Suppliers – Consolidation of production may alter procurement strategies, potentially shifting demand and affecting supplier relationships.

Communication Strategy:
QEA must ensure clear, transparent, and empathetic communication about these changes.

- Employees: Provide details about job relocation, severance, or reskilling programs to manage concerns about job losses.
- Factory Managers: Clearly define their new roles and responsibilities in the centralized structure.
- Shareholders: Outline cost-saving potential and a timeline for expected profitability improvements.
- Customers: Address concerns about product standardization and highlight the benefits of enhanced efficiency and quality.

c) **Barriers to Change and Resistance**
Implementing this global restructuring will face several challenges, including:

1. Employee Resistance – Layoffs and organizational restructuring can lead to dissatisfaction and pushback.
2. Cultural and Regional Preferences – Standardizing product design might not align with varying consumer needs in different markets.
3. Operational Complexity – Transitioning production to fewer factories within six months is a high-risk initiative that could cause delays or supply chain issues.
4. Financial Uncertainty – Initial investment in new production setups and logistics may strain company finances.
5. Regulatory Barriers – Different countries may have import/export regulations, labor laws, or tax policies affecting production changes.

Conclusion
The shift from localized cost reduction to global production consolidation is a bold, high-risk strategy aimed at cutting costs more effectively. QEA will need careful planning, strong leadership, and proactive communication to manage resistance and ensure a smooth transition.

Answer to the Question# 2

a) Strategic Positioning in the BCG Matrix

The **Boston Consulting Group (BCG) Matrix** categorizes products into four quadrants based on **market growth** and **relative market share**:

1. **Stars (High Growth, High Market Share)**
   - **Katex Shoes** (Potential Star)
   - Early testing and marketing exposure suggest strong potential for growth. SSL must invest significantly in marketing and production to seize market leadership.
2. **Cash Cows (Low Growth, High Market Share)**
   - **Specialist Rackets**
   - SSL has a stable market share (6% in the specialist segment) but faces competition from larger firms. Investment should focus on maintaining dominance and improving product innovation.
3. **Question Marks (High Growth, Low Market Share)**
   - **Mass-Market Sports Shoes**
   - SSL has limited market share in a competitive industry. It must either invest aggressively or phase out the product. The Katex technology could be a game-changer, giving SSL a new edge.
4. **Dogs (Low Growth, Low Market Share)**

- **Current Mass-Market Sports Shoes (Without Katex)**
- Sales are declining due to strong competition and reduced industry demand. SSL should consider exiting the product or shifting entirely to Katex-enhanced shoes.

Investment Implications:

- **Prioritize Katex Shoes**: High growth potential, but requires significant investment.
- **Maintain Specialist Rackets**: A steady revenue stream, but SSL must focus on differentiation.
- **Reevaluate Mass-Market Sports Shoes**: Exit traditional shoes and invest in Katex alternatives.

b) **Memorandum on Joint Development Strategies**
To: Directors of Super Sports Ltd (SSL)
From: External Consultant
Subject: Evaluating Joint Development Strategies for Katex Shoes
Dear Mr. Jamshed and Mr. Akram,
Given the potential of **Katex shoes**, SSL must consider external partnerships to overcome financial and logistical constraints. Below is an assessment of four key strategies:

1. Licensing

- **Merits:**
  - SSL can earn royalties without heavy investment in production.
  - Faster market penetration by leveraging partner networks.
- **Demerits:**
- Loss of control over quality and branding.
- Potential risk of intellectual property misuse.

2. Franchising

- **Merits:**
  - Allows SSL to expand while retaining brand identity.
  - Generates income through franchise fees without high capital costs.
- **Demerits:**
- Requires strong brand recognition, which SSL may lack.
- Managing franchisee compliance can be challenging.

3. Joint Venture

- **Merits:**
  - Shared financial burden and operational expertise.
  - SSL retains some control over production and marketing.
- **Demerits:**
- Potential conflicts over strategic direction.
- Profit-sharing limits SSL's earnings potential.

4. Merger

- **Merits:**
  - Immediate access to financial resources and global distribution.
  - Stronger competitive position against larger rivals.
- **Demerits:**
- SSL may lose its independence and unique identity.
- Cultural and operational integration challenges.

Recommendation:
A **joint venture or licensing agreement** may be the best path forward, balancing growth potential with operational control. A merger should only be considered if SSL intends to scale rapidly without maintaining independence.
Let me know if you need further details or adjustments.

Best regards,

Answer to the Question# 3

a) Notes for the Directors on the Financing Decision

Overview
Sattar Industries Ltd. plans to establish a new manufacturing plant in Abuja, which will require significant investment (approx. 15% of the company's market value). Since existing funds are fully committed to operations, external financing will be necessary. The choice between equity, debt, or internal financing must consider cost, market conditions, financial structure (gearing), and investor confidence.

Director A: Concerns About Equity Issue Timing
Key Point: Market downturn may devalue share price, making equity issuance unattractive.

Response:

- Equity finance involves raising funds by issuing new shares. This **dilutes ownership** but does **not require repayment**, making it less risky than debt in terms of cash flow.
- However, **market timing risk** is real. Issuing equity during a bear market could result in selling shares at a low price, **raising less capital** and **diluting existing shareholders more**.
- Director A's concern reflects **market sentiment** and potential **underpricing of new shares**.
- However, stock price forecasting based on charting or historical trends (called **technical analysis**) is **subjective** and **not a reliable sole basis** for strategic financial decisions.
  Recommendation: Keep equity as an option but monitor market conditions. Consider alternative or mixed sources of funding if equity markets remain weak.

Director B: Gearing and External Advice
Key Point: High financial gearing could affect investor confidence and increase risk.

Response:

- **Financial gearing** refers to the proportion of debt in the company's capital structure. High gearing = higher financial risk, as more fixed interest obligations must be met.
- Increasing debt may impact the company's **credit rating**, and make the stock less attractive due to perceived risk.
- On the other hand, **modest gearing** can improve **return on equity** through tax-deductible interest payments (this is called **interest tax shield**).
- Engaging external advisers such as **investment banks or financial consultants** is advisable. They can assist with:
  - Market timing
  - Structuring the deal (loan syndication, underwriting, pricing)
  - Handling legal and regulatory issues

Recommendation: Carefully assess gearing levels; aim for a balanced capital structure. Engage external advisors to ensure professional execution.

Director C: Loan Finance Concerns
Key Point: Equity markets may be more receptive than debt markets.

Response:

- It is true that **investor appetite shifts** over time. If banks or bond markets are tight, **loan finance may be costlier** or come with **strict covenants**.
- However, the company's **strong track record and profitability** make it a candidate for long-term debt, especially if supported by asset backing (capital-intensive plant).
- **Loan stock or bonds** are attractive in that they **do not dilute ownership**, and the interest is tax-deductible. But they do increase financial obligations.
  Recommendation: Explore debt options (bank loans, bonds) to complement or substitute equity, especially if market terms are favorable.

Director D: Use of Retained Profits
Key Point: Internal financing avoids external complications.

Response:

- **Retained profits** are an internal source of finance and cost-effective since they do not require interest or dilute control.
- However, the scenario mentions that funds are "tied up in operations." Unless there is **excess liquidity**, it is unlikely that retained earnings can cover the entire investment (15% of market value).
- Diverting too much from working capital may strain liquidity, affecting day-to-day operations.
  Recommendation: Consider using **a portion of retained earnings**, if available, to reduce the external financing requirement. Combine with debt/equity as needed.

Conclusion & Preferred Strategy

Given the context:

- **Mixed financing** (a blend of debt and retained earnings) may be optimal.
- If market conditions improve, **equity** can be considered with caution.
- Maintain **target gearing** to preserve financial stability.
- **External financial advice** is highly recommended for structuring and executing the deal effectively.

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b) Diversification Strategy: Strategic Considerations

i) Why rushing to diversify isn't necessarily a good strategy

- **Lack of Core Focus**: Rapid diversification can distract management from the core business and dilute brand identity.
- **Capability Gaps**: Diversifying without the right skills, technology, or market understanding often leads to operational inefficiencies or failure.
- **Cultural Clash**: Integration issues can arise if new business lines or acquisitions have different corporate cultures.
- **Capital Drain**: Diversification is costly; if the core business is not generating consistent cash flow, it may increase financial strain.
- **Strategic Misalignment**: Entering markets with no strategic fit can lead to loss of competitive edge.
  Example: Many conglomerates in the past diversified too fast (e.g., Westinghouse), only to later divest and return to their core operations.

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ii) Risks of Concentrating on a Single Business

- **Market Dependence**: Reliance on one product (e.g., Comodo) means the company is highly exposed to market fluctuations or demand shocks.
- **Regulatory/Environmental Risk**: If regulations or environmental concerns affect the core product, the whole business is at risk.
- **Technological Obsolescence**: Technological change can make the core product obsolete.

- **Growth Limitation**: Limited scalability if the market matures or saturates.

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iii) Factors That Signal Time to Diversify

1. **Market Saturation**: When growth in the core business slows.
2. **Excess Cash Flows**: Strong profitability in the core business that can support investment in new areas.
3. **Synergistic Opportunities**: When diversification offers operational or strategic synergies (e.g., same distribution channels, shared R&D).
4. **Risk Mitigation**: To spread risk across sectors or geographies.
5. **Customer Demand Shifts**: If customer preferences shift towards integrated solutions or adjacent services.

Answer to the Question# 4

a) Implications of Poor Ethical Standards and Damaged Reputation on Stakeholder Relationships
The deterioration in Crystal Homes' ethical practices and internal controls has serious implications across its key stakeholder groups:

Stakeholder Group	Implications of Ethical Failures and Damaged Reputation
Investors / Shareholders	Reduced trust due to compliance issues and reputational risk may lead to falling share value, higher risk premium, and possible withdrawal of capital. Increased vulnerability to takeover.
Customers / Homebuyers	Reduced confidence in product safety (e.g., fire safety concerns), health and welfare standards, and overall company integrity. May choose competitors.
Employees	Lower morale and trust in management, especially after whistleblower incident was mishandled. Fear of retaliation may discourage future reporting of concerns.
Regulators	Greater scrutiny and potential penalties due to compliance failures (e.g., financial reporting and building safety standards). Loss of preferential access to government-led land releases.
Suppliers and Contractors	Hesitancy to engage in long-term partnerships due to fear of association with a poorly governed firm. May demand more safeguards or higher prices.
General Public / Media	Negative media coverage harms public image, potentially affecting buyer perception and long-term brand equity. Public protests or online backlash are possible.

Summary: A decline in ethical standards can create a **trust deficit** with stakeholders, damage long-term viability, increase operating costs, and reduce access to critical resources (land, finance, and talent).

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b) Corporate Responsibility Issues and Reasons to Act Responsibly
Main Issues in Corporate Responsibility for Crystal Homes

1. **Health and Safety Compliance**: Ensuring fire safety and construction standards are met is both a legal and moral responsibility.
2. **Environmental Impact**: Responsible land use, waste management, and environmental design principles.
3. **Financial Integrity**: Transparent, accurate financial reporting and adherence to international accounting standards.
4. **Ethical Governance**: Respect for whistleblowers, anti-corruption practices, and integrity in marketing claims.
5. **Community Engagement**: Building affordable, sustainable housing and contributing to local development.

Why Crystal Homes Should Act (or Claim to Act) Responsibly

Reason	Explanation
Rebuild Reputation	CSR initiatives and ethical reforms can signal change to skeptical stakeholders and help repair public image.
Regulatory Compliance	Anticipating and aligning with legal requirements (e.g., new housing policies or safety codes) reduces regulatory risk.
Long-Term Profitability	Ethical companies retain customers, attract better employees, and face fewer legal liabilities.

Reason	Explanation
Investor Appeal	Institutional investors increasingly prioritize ESG (Environmental, Social, Governance) performance.
Competitive Advantage	As a mid-tier builder, acting responsibly can differentiate Crystal Homes from local informal builders and restore credibility.

Summary: Embracing **corporate responsibility is not only about doing good, but also about ensuring resilience, competitiveness, and stakeholder alignment** in a changing regulatory and social landscape.

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c) Ethical Responsibilities of an Accountant (Employee and Professional) in Crystal Homes Context
As an Employee (Internal Responsibilities)

1. **Integrity**: Report all financial matters truthfully without omission or manipulation.
    - *In Crystal Homes*: Ensure no misstatement or omission in accounts regarding cost allocations, asset valuation, or safety compliance expenses.
2. **Objectivity**: Avoid bias, conflicts of interest, or undue influence.
    - For example, not concealing internal control weaknesses or safety lapses even under pressure from management.
3. **Professional Competence**: Maintain knowledge of applicable accounting and building industry regulations.
4. **Confidentiality**: Protect sensitive company data, except when disclosure is ethically or legally required (e.g., whistleblowing in public interest).
5. **Professional Behavior**: Uphold the image of the profession—acting ethically, not just legally.

As a Professional (External and Regulatory Responsibilities)

1. **Adherence to International Standards**: Follow IFRS/IAS or local standards accurately in financial statements.
2. **Whistleblowing Duty**: Where serious non-compliance is occurring (e.g., fire safety failures), there is a duty to escalate internally first and externally if unresolved.
    - The whistleblower incident at Crystal Homes shows the failure of internal mechanisms. A qualified accountant must ensure proper internal audit/reporting structures exist and function.
3. **Duty to the Public Interest**: Professional accountants serve not just the employer but society, ensuring trust in financial and operational reporting.

Relevant Code: These responsibilities align with the **IFAC Code of Ethics for Professional Accountants** (by IESBA), also reflected in ICAB/BICPA guidelines if operating in Bangladesh.

Conclusion
Crystal Homes must take urgent steps to restore trust and ethical integrity—across operations, governance, and financial practices. Accountants in the organization have a **critical role** to play in this turnaround—not just in compliance, but in **re-establishing the culture of responsibility and transparency** that once defined the company.

Answer to the Question# 5

a) Evaluation of Mirza's Marketing Strategy

Mirza's marketing strategy primarily revolves around **three revenue streams**:

1. **Catching and selling fish** (small varieties only).
2. **Hosting an angling competition** with lucrative prizes.
3. **Selling Friday passes for individual angling.**

The **strengths** of his strategy include:

- **Strong Incentives for Anglers:** The angling competition provides an exciting experience and encourages high participation due to generous prizes.
- **Direct-to-Consumer Approach:** Selling fish on-site ensures **low distribution costs** and eliminates middlemen.
- **Innovative Business Model:** Mirza has combined **traditional fish farming with recreational fishing**, creating an additional stream of revenue.

However, **challenges** include:

- **High Prize Expenses:** 60% of ticket sales go into prizes, which may limit profitability.
- **Limited Product Diversification:** The business heavily relies on angling events; expanding into new areas (such as fish exports, processed fish products, or online marketing) could add resilience.
- **Risk of Seasonal Demand Fluctuation:** Angling competitions are **periodic** rather than **continuous**, meaning revenue is **highly dependent** on event success.

b) Expanding the Business

Mirza can **scale up his business** by:

- **Enhancing Branding & Online Presence:** Social media, website marketing, and digital ticketing could **increase participation** in angling events.
- **Adding Value-Added Products:** Selling **processed fish, fillets, or fish-based snacks** could create new revenue streams.
- **Expanding into Tourism & Hospitality:** Developing **lodges or guided fishing tours** could attract **eco-tourists** looking for unique fishing experiences.
- **Exploring Export Markets:** If local demand is saturated, export opportunities for fresh or frozen fish could be explored.
- **Diversifying Livestock & Agriculture:** His **poultry, duck-cum-fish farming, and horticulture plan** could bring **synergies** into the business and **maximize land use efficiency**.

c) Data for Feasibility Study

To evaluate the viability of Mirza's new **integrated farm investment**, the following data is required:

- **Market Demand & Competition Analysis:** What is the demand for poultry, fish farming, and horticulture in Bangladesh?
- **Cost Estimates:** Infrastructure costs, equipment, labor, and feed supply for expanded operations.
- **Revenue Projection:** Expected earnings from **fish, poultry, horticulture, and eco-tourism services**.
- **Regulatory & Environmental Factors:** Government policies on **agriculture, fisheries, and livestock farming**.
- **Risk Assessment:** Potential impacts of **floods, climate change, and disease outbreaks** on the expanded farm.
- **Human Resource Planning:** Skills needed to operate poultry and horticulture sections efficiently.

d) Weaknesses in Mirza's Strategy

While Mirza has a **strong entrepreneurial mindset**, a few weaknesses should be addressed:

- **Over-Reliance on Angling Events:** If fewer people participate, revenues could sharply decline.
- **Limited Scalability in Fish Production:** The project depends on **local catch sales**, but should consider **bulk sales to markets/restaurants** for stability.
- **Absence of Formal Risk Management Strategy:** Flooding is a serious concern; **building embankments, insurance coverage, and emergency contingency plans** could mitigate risks.
- **Small Team Management:** Only three employees manage the entire project, which may limit growth potential.

Conclusion

Mirza has built an **innovative and profitable business**, but he should consider **expanding product diversification, developing risk mitigation strategies, and modernizing marketing efforts** to scale further.

Would you like me to add more suggestions or refine a specific section?

Answer to the Question# 6(a):

Calculation of FCFE

	Tk. in Thousand
EBIT(1 - t) = Tk.3,625(1 – 0.20) =	2,900
Depreciation	2,500
Profit on disposal of assets	(700)
Reduction in working capital	1,450
Purchase of assets	(4,150)
FCFE	2,000

Note: Issue of shares has no effect on free cash flow.

Answer to the Question# 6(b):

Calculation of current total value of equity of Total Ltd.

First, we determine cost of equity, using CAPM:
KE = 5 + (1.26 × 6) = 12.56%

Value of equity can be computed as:

FCFE1/(KE- g) =2,000(1.039)/(0.1256–0.039) = Tk.23,995.4 or (say) Tk.24,000,000

This modelling method assumes that the free cash flow model fairly represents the fair value of the business, that the company is a going concern, that the discount rate has a flat term structure, and that future growth is constant. In practice one or more of these assumptions may be violated.

Answer to the Question# 6(c):

Using the BSOP model in company valuation rests upon the idea that equity is a call option, written by the lenders, on the underlying assets of the business. If the value of the company declines substantially then the shareholders can simply walk away, losing the maximum of their investment. On the other hand, the upside potential is unlimited once the interest on debt has been paid.

BSOP model can be helpful in circumstances where the conventional methods of valuation do not reflect the risks fully or where they cannot be used. Given the gearing of the two companies, the low levels of trading in each company's equity, and their future growth potential, including its volatility, it is appropriate to handle the valuation by focusing upon the real option value attributable to the post-acquisition business.

There are five variables which are input into the BSOP model to determine the value of the option. Proxies need to be established for each variable when using the BSOP model to value a company. The five variables are: the value of the underlying asset, the exercise price, the time to expiry, the volatility of the underlying asset value and the risk free rate of return.

For the exercise price, the debt of the company is taken. In its simplest form, the assumption is that the borrowing is in the form of zero coupon debt, i.e., a discount bond. In practice such debt is not used as a primary source of company finance and so we calculate the value of an equivalent bond with the same yieldand term to maturity as the company's existing debt. The exercise price in valuing the business as a call option, is the value of the outstanding debt calculated as the present value of a zero coupon bond offering the same yield as the current debt.

The proxy for the value of the underlying asset is the fair value of both the companies' assets less current liabilities on the basis that if the company is broken up and sold, then that is what the assets would be worth to the long-term debt holders and the equity holders.

The time to expiry is the period of time before the debt is due for redemption. The owners of the company have that time before the option needs to be exercised, that is when the debt holders need to be repaid. The proxy for the volatility of the underlying asset is the volatility of the business' assets. The risk-free rate is usually the rate on a riskless investment such as a short-term government bond.

Answer to the Question# 6(d):

The variables required in the valuation are:

Exercise price (E): This is determined by an equivalent zero coupon debt with a term to maturity of five years and yield of 8% (5% + 3%):

15,000 × (1.08)-5 = Tk.10,208.75

Underlying assets (S) = the value of the underlying assets of the combined company = Tk.43,000

Risk-free rate (r) = 5%
Time to expiration (t) = 5 years, volatility (σ) = 0.35

To value the equity of the combined business, we need to value a call option.
Applying the BSOP model:

$$d1 = \frac{\text{In } (43000/10208.75)+0.05+0.5(0.35)2 \text{ x}5}{0.35\text{x}\sqrt{5}} = 2.548$$

d2 = 2.548 – (0.35 × √5) = 1.765

N(d1) = 0.5 + (0.4945 + 0.8(0.4946 – 0.4945)) = 0.995

N(d2) = 0.5 + (0.4608 + 0.5(0.4616 – 0.4608)) = 0.9612

Call value (Tk.000) = (43,000 × 0.995) – (10,208.75 × 0.9612 × e-0.05×5) = 35,142.90

The value of the call on the combined firm's assets is approximately Tk.35,142,900.

Deducting Total Ltd's current equity of Tk.24,000,000:
Tk.35,142,900 - Tk.24,000,000 = Tk.11,142,900

This suggests that the maximum price which should be paid to the shareholders
in Lily Archade is Tk.11,142,900.

Market value of Lily Archade = Tk.6,000,000/0.75 = Tk.8,000,000
Maximum premium payable = Tk.11,142,900 - Tk.8,000,000 = Tk.3,142,000 or 39.3%.

Answer to the Question# 6(e):

Although the BSOP model is very effective in valuing continuously traded securities in active markets, its validity is more questionable where the basic assumptions supporting the model do not hold. It is assumed that the value of the assets of the business change randomly around a rising trend and are thus log-normally distributed. It is also assumed that they are traded in frictionless markets and the holding can be continuously adjusted. Finally, the model is only appropriate for European style options. Given these assumptions, the modelling can only be expected to give an indicative rather than a definitive value, but in the absence of any alternative it is a useful adjunct to commercial judgement.

---The End---